officials. The licence permit raj ensured that those in the good books of the government got licences and import permits while others simply cooled their heels. Instead of a socialist pattern, India got a crony-capitalist pattern of society.

India was politically an open and democratic country. However, instead of changing gear in the 1950s when the Germanys, Taiwans and Japans of the world were rising, or in the 1960s, when South Korea and other East Asian countries were rising, or even in the 1970s, when even a hardcore communist country like China started changing, the country persisted with failing policies and started taking baby steps only in the 1980s towards the rehabilitation of the private sector in the economy. India also wrongly opted for short-term, debt-funded growth in the public sector.

It took considerable time for the country to realize its tryst with destiny —finally, in 1991, India took a decisive turn. The economic policies adopted and persisted with, from 1947 to 1991—the era of Indian Economic Policy 1.0—have been described and analysed in greater detail in Part A of this book.

Indian Economic Policy 2.0

India passed through a very unstable phase politically in the second half of the 1980s with all sorts of patchwork political formations assuming power. The combination of unstable political leadership and floundering economic fortunes brought the country to a pass when it was on the verge of defaulting on its international debt obligation in 1991. The 1991 crisis is commonly dubbed as the foreign exchange crisis as India did not have enough foreign exchange reserves left to pay its due debt. The underlying crisis was, however, the result of an all-pervasive sub-optimally performing economic policy 1.0 framework. With its back to the wall, the country started changing in 1991.